C. 2.29 percent.

6. Grupo Ignacia issued 10-year corporate bonds four years ago. The bonds pay an annualized coupon of 10.7 percent on a semiannual basis, and the current price of the bonds is MXN97.50 per MXN100 of par value. The YTM of the bonds is *closest* to:

   A. 11.28 percent.

   B. 11.50 percent.

   C. 11.71 percent.

7. Mylandia Corporation stock trades at CAD60.00. The company pays an annual dividend to its shareholders, and its most recent payment of CAD2.40 occurred yesterday. Analysts following Mylandia expect the company's dividend to grow at a constant rate of 3 percent per year. Mylandia's required return is:

   A. 8.00 percent.

   B. 7.00 percent.

   C. 7.12 percent.

8. An analyst observes the benchmark Indian NIFTY 50 stock index trading at a forward price-to-earnings ratio of 15. The index's expected dividend payout ratio in the next year is 50 percent, and the index's required return is 7.50 percent. If the analyst believes that the NIFTY 50 index dividends will grow at a constant rate of 4.50 percent in the future, which of the following statements is correct?

   A. The analyst should view the NIFTY 50 as overpriced.

   B. The analyst should view the NIFTY 50 as underpriced.

   C. The analyst should view the NIFTY 50 as fairly priced.

9. If you require an 8 percent return and must invest USD500,000, which of the investment opportunities in Exhibit 1 should you prefer?

Exhibit 1: Investment Opportunities

Cash flows (in thousands)	t = 0	t = 1	t = 2	t = 3
Opportunity 1	–500	195	195	195
Opportunity 2	–500	225	195	160.008

   A. Opportunity 1

   B. Opportunity 2

   C. Indifferent between the two opportunities.

10. Italian one-year government debt has an interest rate of 0.73 percent; Italian two-year government debt has an interest rate of 1.29 percent. The breakeven one-year reinvestment rate, one year from now is *closest* to:

   A. 1.01 percent.